

June 11, 2026

Chairman Christopher Cabaldon
Senate Privacy, Digital Technologies,
and Consumer Protection Committee
Capitol Office, 1021 O Street, Suite 7320
Sacramento, CA 95814

Vice Chairman Brian Jones
Senate Privacy, Digital Technologies,
and Consumer Protection Committee
Capitol Office, 1021 O Street, Suite 7640
Sacramento, CA 95814

Assembly Member Christopher Ward
California State Assembly
Capitol Office, 1021 O Street, Suite 6350
Sacramento, CA 95814

RE: Ad Trade Letter in Opposition to California AB 1542

Dear Chair Cabaldon, Vice Chair Jones, and Assembly Member Ward:

On behalf of the advertising industry, we respectfully oppose AB 1542 in its current form, and we provide this letter to express our non-exhaustive list of concerns about this legislation.¹ We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and industry policies. As currently drafted, AB 1542 takes an overly broad and blunt approach by flatly prohibiting businesses from selling or sharing sensitive personal information when Californians already have a right to limit the use and disclosure of sensitive personal information under existing law. AB 1542's approach also starkly contrasts with the approach of most other state privacy laws, which require consumer consent to process sensitive personal information rather than banning the processing of such data outright. The Senate Privacy, Digital Technologies, and Consumer Protection Committee ("Committee") should consider updates to remove the ban on sensitive personal information sales and sharing in AB 1542.

AB 1542 would add a new clause to the California Civil Code, Section 1798.121, prohibiting businesses, service providers, or contractors from selling or sharing sensitive personal information to third parties.² This approach would go well beyond what is necessary to protect consumers and abandon the approach taken by CCPA, as approved by California voters via ballot initiative. The CCPA already requires transparency and consumer choice: businesses must provide consumers with a notice at collection describing the categories of sensitive personal information collected and the purposes for its use, must disclose consumers' rights in privacy policies, and must give consumers a right to limit the use and disclosure of sensitive personal information when it is used beyond narrow statutorily defined purposes.³ Current law gives consumers the right to *decide* whether data can be used and allows them to *choose* whether

¹ California AB 1542 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, "AB 1542").

² AB 1542 § 1798.121(e).

³ See, e.g., Cal. Civ. Code §§ 1798.100, 1798.121, 1798.135.



to receive the benefits that come from its use. AB 1542 would take that choice away from consumers.

Rather than preserving the CCPA's framework of data use limitations, informational disclosures, and consumer controls, AB 1542 would impose a one-size-fits-all prohibition that would limit beneficial practices even where consumers have been fully informed and afforded meaningful choice. For instance, businesses rely on third-party vendors to process sensitive personal information for fraud detection and identity verification—practices that directly benefit consumers. Even if AB 1542 were amended to explicitly exempt from the prohibition transfers of sensitive personal information to prevent fraud, support identity verification, and/or protect security and integrity, the bill would still significantly and detrimentally impact the availability of data for such use cases. If sensitive personal information is not accessible at scale due to laws that ban its transfer, critical anti-fraud and identity protection services cannot operate effectively. As drafted, AB 1542 would ban sensitive personal information from being shared to support these and other important services, which would lead to unintended consequences for consumers and businesses alike. We urge the Committee to reconsider AB 1542's across-the-board prohibition on selling or sharing sensitive personal information to any third party.

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As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024.⁴ By one estimate, approximately 18.9% of California jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 20.9% by 2029.⁵ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We and our members strongly support meaningful privacy protections for Californians.

As currently drafted, AB 1542 would flatly ban businesses from transferring sensitive personal information without any benefit to consumers who already have the right to limit its use and disclosure under current law. We therefore respectfully ask the Committee to decline to advance AB 1542 as proposed. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

Thank you in advance for your consideration of this letter.

Sincerely,

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⁴ S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

⁵ *Id.* at 15-16.